

While the purpose that the two contracts serve is similar to each other yet the internal working and features of the two make each of these contracts unique for traders that use them.

STANDARDISATION

1

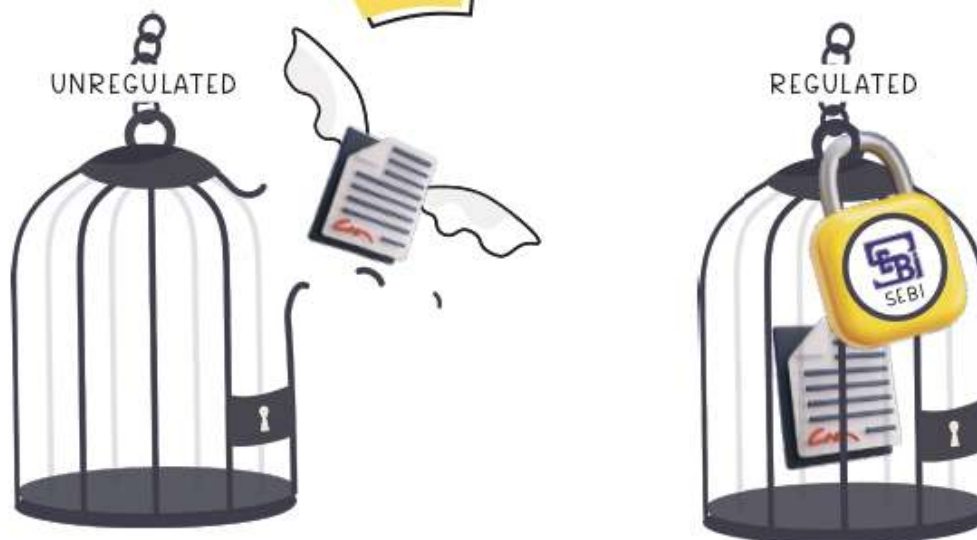
Forward contracts are customisable contracts as per the precise requirements and terms that are agreeable to both the buyer and the seller of the contract.

Futures contracts, on the other hand, are standardised contracts that are created by the exchange.



2

REGULATION



Forward contracts are contracts that trade in private over-the-counter markets. They are independent of the exchange regulations.

Futures contracts, on the contrary, are contracts that explicitly trade on the exchange and are well regulated as per the guidelines of Securities and Exchange Board of India (SEBI).